

# US Semiconductors and Semi Equipment

## SemiBytes: SOX Rally, NVDA Podcast, ASML/ TSMC Read-Through

20 April 2026

### Earnings previews - Companies reporting the week of 4/27

This week, we are previewing STX, TER, ENTG, KLAC, PI, QCOM, and WDC. Please refer to our [standalone note](#) for more details.

### Recent surge in semis stocks creates the potential for a "sell the news" earnings

The SOX index has risen >20% in the past month ([Figure 1](#)) - something that hasn't happened only 4x in the past 5yrs - led mostly by semicap and memory stocks but MRVL and AVGO. We view the move as reflecting improving confidence in the durability of AI infrastructure spending, alongside better sentiment around memory fundamentals and the market increasingly realizing that the massive upside in WFE spending C2027 and 2028 that we have been talking about for quite a long time now is more likely. Concurrently, inbound investor Qs and call requests has taken even another feverish step up with many investors asking what to do after this move. We also note there was little to no T+1 stock follow through this past week post earnings in stocks like ASML and TSMC. Outside of analog - where we think positioning beyond ADI is significantly under-weight - we do wonder whether stocks now set up for a similar sort of follow through in the very near-term over the next few weeks of earnings season. In support of this, we would note that the SOX has been, on average, up ~1% in the month following the four other times that the SOX surged >20% in a month.

### NVDA CEO podcast: GPUs remain the preferred architecture amid rapid model evolution

NVDA CEO Jensen Huang was on Dwarakesh Patel's podcast this past week ([link](#)) and we found it interesting. Huang's comments were very consistent with NVDA's investment thesis around architectural flexibility, system level performance optimization and ecosystem lock in. The pod emphasized the increasing proliferation of many architectures - from traditional transformers to MoE and now emerging SSMs (sparse space models) - arguing that this heterogeneity structurally favors GPUs over other function alternatives like TPUs or ASIC's coming from a myriad of private companies. In our view, as workloads continue to evolve unpredictably, we believe many investors underappreciate that GPUs often represent the lowest risk hardware investment for cloud vendors - especially for any instance that will ultimately serve external customer workloads. NVDA's CUDA ecosystem is not a strong moat in every case, but NVDA's ability to internally model, simulate, and benchmark alternative architectures is a factor that we feel many investors underappreciate. Other comments on the pod highlighted that NVDA is deeply engaged with the supply chain ensuring the capacity being deployed and is increasingly becoming the largest customer for critical system component vendors (TSMC, optical vendors, etc.) and our own expert calls increasingly suggesting that the supply chain relationships are indeed becoming a big part of NVDA's competitive advantage. Huang also pointed to the absence of ASIC platforms in public benchmarks (e.g., MLPerf) - something we believe to be due to ASICs being optimized for and supporting select closed source models while benchmarks largely focused on open source model performance. To that point, NVDA also highlighted leading AI vendors earning ~65% GMs (not far from NVDA's 70%+), underscoring that economic comparison may be shifting as NVDA pushed into system-level co-design. Finally, on the China market, Jensen reiterated the "five layer cake" framework - arguing hardware is only one layer, and that restricting NVDA's ability to sell into China will accelerate China's progress in the upper layers (models, software, applications). Ultimately, NVDA continues to see long term strategic value in China's development of the CUDA/NVDA software stack despite ongoing hardware constraints.

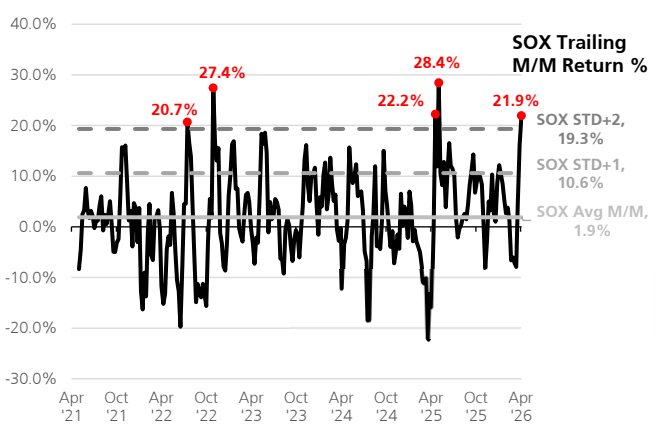
## **TSMC/ASML support our view of a WFE super-cycle - and that earnings revisions are just beginning**

We received a host of questions this past week around the significance and read-through from earnings commentary from TSMC and ASML. TSMC guided C2026 capex to be at the higher end of the current \$52-56B range, which suggests, if we assumed CQ2:26 capex to be up a bit to ~\$14B, that C2H:26 capex could reach ~\$31B (up +24 H/H versus C1H:26). Assuming C2027 capex of ~\$75B (UBSe post earnings), this would imply a +\$6.5B step-up in capex into C1H:27 (at ~\$37.5B). We got a lot of Qs from investors on TSMC suggesting that capital intensity will start to come down, but we do not believe this means that UBS' C2028 capex forecast of ~\$85B is any sort of ceiling - especially given how much TSMC revenue is growing. We would also note that only a few years ago TSMC also pointed to capex intensity to decline following a few years of robust investments and we have seen what has happened to its capex in the meantime. On ASML, we think the more constructive outlook for immersion shipments this year (which importantly, is not China-driven) reads positively to our US SPE stocks. This is because, on multiple occasions, deposition/etch suppliers have highlighted litho availability as a gating factor for tool deliveries. Similarly, management's commentary on the EUV front ("a bit more than can be done") also reinforces that ASML might still have more upside to shipments. ASML's gross margin commentary (unchanged guidance despite a solid beat in C1Q, which management justified as supply chain related) fueled some investor inbounds, but we do not see added headcount costs to support the ramp as issues for gross margin at US SPE suppliers like AMAT or LRCX.

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Figure 1: SOX Month/Month Performance Near 5-year Highs



Source: FactSet, UBS

Figure 2: SOX Returns Following Strong 1-month Periods Slightly Trail Average

| Instance of 2+ Std Deviation SOX Trailing 1-month return | Trailing 1-month SOX Return | Next 1-month SOX Return |
|----------------------------------------------------------|-----------------------------|-------------------------|
| Jun '25                                                  | 28.4%                       | 3.9%                    |
| May '25                                                  | 22.2%                       | 8.2%                    |
| Dec '22                                                  | 27.4%                       | -1.2%                   |
| Aug '22                                                  | 20.7%                       | -5.7%                   |
| <b>Average</b>                                           | <b>24.7%</b>                | <b>1.3%</b>             |
| <b>Overall 5-yr Average 1-month Trailing SOX</b>         | <b>1.9%</b>                 | <b>1.9%</b>             |

Source: FactSet, UBS

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## Valuation Method and Risk Statement

We use various valuation techniques such as P/E, EV/FCF for valuing the companies in this report. Risk factors include but are not limited to macroeconomic factors such as a downturn in the economy, a disruption of international trade, technological disruption due to new inventions, or business model innovation whereby structural changes in the industry alter the future course of unit sales, ASPs, and revenues.

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## Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at <https://neo.ubs.com/quantitative>, or contact your UBS sales representative for access to the report or the Quantitative Research Team on [quantitative@ubs.com](mailto:quantitative@ubs.com). A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

### Qorvo Inc

| Question                                                                                                                                                                                                                                             | Response    |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|
| 1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)                                                 | N/A         |
| 2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)                                | N/A         |
| 3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)                         | N/A         |
| 4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)                | N/A         |
| 5. What's driving the difference?                                                                                                                                                                                                                    |             |
| 6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view) | N/A         |
| 7. What's driving the difference?                                                                                                                                                                                                                    |             |
| 8. Is there an upcoming catalyst for the company over the next three months?                                                                                                                                                                         | No Catalyst |
| 9. Is there an actual or approximate date for the catalyst?                                                                                                                                                                                          |             |
| 10. Is the catalyst date an actual or approximate date?                                                                                                                                                                                              | N/A         |
| 11. What is the catalyst?                                                                                                                                                                                                                            |             |

### Analog Devices Inc

| Question                                                                                                                                                                                                                                             | Response |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| 1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)                                                 | N/A      |
| 2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)                                | N/A      |
| 3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)                         | N/A      |
| 4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)                | N/A      |
| 5. What's driving the difference?                                                                                                                                                                                                                    |          |
| 6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view) | N/A      |
| 7. What's driving the difference?                                                                                                                                                                                                                    |          |

| Question                                                                     | Response    |
|------------------------------------------------------------------------------|-------------|
| 8. Is there an upcoming catalyst for the company over the next three months? | No Catalyst |
| 9. Is there an actual or approximate date for the catalyst?                  |             |
| 10. Is the catalyst date an actual or approximate date?                      | N/A         |
| 11. What is the catalyst?                                                    |             |

### Seagate Technology Holdings PLC

| Question                                                                                                                                                                                                                                             | Response    |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|
| 1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)                                                 | N/A         |
| 2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)                                | N/A         |
| 3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)                         | N/A         |
| 4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)                | N/A         |
| 5. What's driving the difference?                                                                                                                                                                                                                    |             |
| 6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view) | N/A         |
| 7. What's driving the difference?                                                                                                                                                                                                                    |             |
| 8. Is there an upcoming catalyst for the company over the next three months?                                                                                                                                                                         | No Catalyst |
| 9. Is there an actual or approximate date for the catalyst?                                                                                                                                                                                          |             |
| 10. Is the catalyst date an actual or approximate date?                                                                                                                                                                                              | N/A         |
| 11. What is the catalyst?                                                                                                                                                                                                                            |             |

### Skyworks Solutions Inc

| Question                                                                                                                                                                                                                                             | Response    |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|
| 1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)                                                 | N/A         |
| 2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)                                | N/A         |
| 3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)                         | N/A         |
| 4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)                | N/A         |
| 5. What's driving the difference?                                                                                                                                                                                                                    |             |
| 6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view) | N/A         |
| 7. What's driving the difference?                                                                                                                                                                                                                    |             |
| 8. Is there an upcoming catalyst for the company over the next three months?                                                                                                                                                                         | No Catalyst |

| Question                                                    | Response |
|-------------------------------------------------------------|----------|
| 9. Is there an actual or approximate date for the catalyst? |          |
| 10. Is the catalyst date an actual or approximate date?     | N/A      |
| 11. What is the catalyst?                                   |          |

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| 12-Month Rating | Definition                            | Coverage <sup>1</sup> | IB Services <sup>2</sup> |
|-----------------|---------------------------------------|-----------------------|--------------------------|
| <b>Buy</b>      | FSR is > 6% above the MRA.            | 54%                   | 24%                      |
| <b>Neutral</b>  | FSR is between -6% and 6% of the MRA. | 40%                   | 21%                      |
| <b>Sell</b>     | FSR is > 6% below the MRA.            | 6%                    | 21%                      |

Source: UBS. Rating allocations are as of 31 March 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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